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Smart Money Concepts (ICT)

Order blocks, liquidity, fair value gaps

The Complete Course — 8 Modules With Real Chart Examples

Order Blocks, Fair Value Gaps, Liquidity, Market Structure — Explained Like a Human

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MODULE 1: WHAT IS SMART MONEY & WHY RETAIL LOSES

Let Me Be Real With You

Every time you lose a trade, someone else wins. And that someone? It's not another retail trader sitting in their bedroom in Manchester. It's institutional money — banks, hedge funds, central banks, market makers.

These are the "smart money" players. They move BILLIONS. And they don't trade like you and me. They can't just click "buy" and get filled. They need liquidity. They need people on the

OTHER side of their trade.

Guess who provides that liquidity? Retail traders. You. Me. Everyone with a £500 account and a dream.

The Retail Trap — How You're Being Played

Here's what happens every single day in the markets:

```
1. Price approaches a "support" level
2. Every retail trader on earth goes long (buys)
3. They all place stop losses below support
4. Smart money sees this cluster of stop losses
5. They PUSH price below support (the "sweep")
6. All retail stops get triggered (providing liquidity)
7. Smart money uses that liquidity to enter THEIR position
8. Price reverses and rockets upward
9. Retail: "The market is manipulated!"
   Smart Money: "Thank you for the liquidity, mate."
```

This isn't conspiracy. This is market mechanics. And once you understand it, you stop being the liquidity and start trading WITH the institutions.

Smart Money vs. Retail — The Difference

| Retail Traders | Smart Money |

|---------------|-------------|

| Buy at support | Create fake support to collect stops |

| Sell at resistance | Push through resistance to trap breakout traders |

| Follow indicators | Create the moves that indicators react to |

| Need price to go their way | Need LIQUIDITY to fill their orders |

| Trade based on patterns | Trade based on order flow and positioning |

ICT — The Framework

ICT (Inner Circle Trader) concepts are a way of reading price action through the lens of institutional behaviour. It's not indicators. It's not magic. It's understanding WHY price does what it does.

The core pillars:

1. **Market Structure** — direction and bias
2. **Liquidity** — where stops are sitting (fuel for moves)

3. **Order Blocks** — where institutions placed their orders
4. **Fair Value Gaps** — imbalances that price wants to fill
5. **Inducement** — traps designed to grab retail traders

Master these five things and you'll see the market completely differently.

MODULE 2: MARKET STRUCTURE — THE FOUNDATION

Before Anything Else, You Need This

Market structure is the skeleton. Everything else — order blocks, FVGs, liquidity — hangs on top of structure. Get this wrong and nothing else works.

The Two States of Market Structure

The market only does TWO things:

```
1. BULLISH STRUCTURE — Higher Highs (HH) and Higher Lows (HL)
2. BEARISH STRUCTURE — Lower Highs (LH) and Lower Lows (LL)
```

That's it. Sounds simple, right? It is. But most people overcomplicate it.

Identifying Swing Points

A **swing high** is a candle high with lower highs on BOTH sides.

A **swing low** is a candle low with higher lows on BOTH sides.

```
SWING HIGH:
         ■■
        ■  ■
       ■    ■
      ■      ■
     ■        ■

SWING LOW:
     ■        ■
      ■      ■
       ■    ■
        ■  ■
         ■■
```

Break of Structure (BOS)

A Break of Structure confirms the trend is continuing.

Bullish BOS: Price breaks ABOVE the previous swing high

Bearish BOS: Price breaks BELOW the previous swing low

```
BULLISH EXAMPLE:

Price:  Low → High → Higher Low → BREAKS above previous High
                                    ↑
                                   BOS (Bullish)

Meaning: "Buyers are in control. Look for longs."
```

Change of Character (CHoCH)

This is when the structure SHIFTS. It's your first warning that the trend might be reversing.

Bullish to Bearish CHoCH: Price was making HH/HL, then breaks below the most recent Higher Low.

Bearish to Bullish CHoCH: Price was making LH/LL, then breaks above the most recent Lower High.

```
BEARISH CHoCH EXAMPLE:

      HH
     ■  ■
    ■    ■    ← Price was bullish
   HL     ■
            ■  ← Breaks below HL
             ■■  ← CHoCH! Structure shifted bearish

Meaning: "Sellers just took over. Start looking for shorts."
```

Multi-Timeframe Structure

Here's where most people mess up. You need ALIGNMENT.

```
TIMEFRAME HIERARCHY:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
Daily/H4:    Determines your BIAS (direction)
H1:          Confirms the move is starting
M15:         Gives you the ENTRY

RULE: Only take trades that align with the higher timeframe structure.

Daily Bullish + H1 Bullish + M15 Entry = HIGH PROBABILITY LONG
Daily Bullish + H1 Bearish + M15 Entry = AVOID (conflicting)
```

The "Internal vs. External" Structure Concept

External structure: The major swing highs and lows (H4/Daily)

Internal structure: The smaller moves within those swings (M15/H1)

Why it matters: External structure tells you WHERE price is going. Internal structure tells you HOW it's getting there.

```
EXTERNAL (H4):     ██████████████████ (Major high — target/resistance)
                  █
INTERNAL (M15): ███████           (Smaller moves building toward it)

You trade the INTERNAL moves in the DIRECTION of EXTERNAL structure.
```

Practical Rules for Structure

1. Always start with H4 or Daily — what's the big picture bias?
2. Drop to H1 — is it confirming the higher timeframe?
3. Only then go to M15 for entry
4. If structures conflict — do nothing. Wait.
5. BOS = trend continuation. Trade WITH it.
6. CHoCH = potential reversal. Be cautious. Wait for confirmation.

MODULE 3: LIQUIDITY — WHERE THE MONEY REALLY IS

This Is the Biggest Concept in All of Trading

If you understand liquidity — truly understand it — you will never look at a chart the same way again.

Liquidity is simply this: resting orders in the market. Stop losses. Pending orders. Buy stops. Sell stops. They sit there, invisible to you, but VISIBLE to the institutions.

And institutions need liquidity to fill their massive orders. So they HUNT it.

Where Does Liquidity Sit?

Liquidity collects in predictable places:

```
ABOVE SWING HIGHS: Buy stops from shorts (their stop losses)
                   Buy stops from breakout traders (pending orders)
BELOW SWING LOWS:  Sell stops from longs (their stop losses)
```

```
                    Sell stops from breakdown traders (pending orders)

AT ROUND NUMBERS:  1.1000, 1.2000, etc. — everyone's orders cluster here

AT EQUAL HIGHS/LOWS: Double tops/bottoms — massive stop clusters
```

The Liquidity Sweep — How Institutions Enter

```
THE PLAY:
━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━

1. Price creates an obvious swing high (everyone sees it)
2. Retail traders SHORT at that level (textbook "resistance")
3. They place stop losses ABOVE the high
4. Smart money PUSHES price above the high (sweeps liquidity)
5. All those stops trigger = buy orders filled = SM gets their shorts
6. Price immediately reverses and drops

THIS IS NOT A FAKE BREAKOUT. THIS IS INTENTIONAL LIQUIDITY COLLECTION.
```

Types of Liquidity

1. Buy-Side Liquidity (BSL)

- Resting ABOVE swing highs
- Triggers when price moves UP
- Provides fuel for institutions to SELL

2. Sell-Side Liquidity (SSL)

- Resting BELOW swing lows
- Triggers when price moves DOWN
- Provides fuel for institutions to BUY

Equal Highs & Equal Lows — The Liquidity Magnets

When price creates TWO (or more) highs at the same level, or two lows at the same level — that's a liquidity MAGNET.

```
EQUAL HIGHS:
     ━━━━━━━━━━━━━━━━━━━━━  ← Liquidity pool (BSL)
          ■     ■
     Everyone sees "double top resistance"
     Everyone places stops just above
     Smart money's target = those stops

EQUAL LOWS:
          ■     ■
     ━━━━━━━━━━━━━━━━━━━━━  ← Liquidity pool (SSL)
     Everyone sees "double bottom support"
```

```
Everyone places stops just below
Smart money's target = those stops
```

How to Use Liquidity in Your Trading

Step 1: Identify where liquidity is resting (above highs, below lows)

Step 2: Wait for price to SWEEP that liquidity

Step 3: Look for reversal confirmation AFTER the sweep (order block, FVG, CHoCH)

Step 4: Enter in the opposite direction

```
EXAMPLE (Bullish Setup):
████████████████████████████████████████████████

1. Bearish structure creates a clear swing low (SSL below it)
2. Price drops BELOW that low (sweeps sell-side liquidity)
3. Immediately, you see a bullish CHoCH on M15
4. An order block forms at the sweep level
5. ENTER LONG at the order block retest
6. Stop loss below the liquidity sweep wick
7. Target: The buy-side liquidity above (next swing high)
```

The Liquidity → Liquidity Model

This is the single most powerful concept I can give you:

Price moves from one liquidity pool to another.

That's it. That's how you determine your take-profit targets.

```
FLOW:
SSL (below lows) → SWEEP → REVERSAL → BSL (above highs)

or

BSL (above highs) → SWEEP → REVERSAL → SSL (below lows)
```

Once liquidity on one side is taken, price seeks liquidity on the OTHER side. Your trade is simply riding that move.

MODULE 4: ORDER BLOCKS — INSTITUTIONAL FOOTPRINTS

What Is an Order Block?

An order block is the LAST candle before a strong move in the opposite direction. It represents where institutions placed their orders.

Think of it like this: Before price rockets up, institutions needed to accumulate (buy a lot). The last bearish candle before that move? That's where they were buying. The candle looks bearish because they were buying INTO sell pressure — absorbing all the selling to fill their massive orders.

Bullish Order Block

The last DOWN candle (bearish candle) before a strong UP move.

```
BULLISH ORDER BLOCK:

      ■
      ■  ← Strong bullish move UP
      ■
     ■■ ← THIS is the bullish order block
     ■■    (last bearish candle before the move)
     ■■
     ■■
     ■■ ← Previous bearish move
```

Entry: When price comes BACK to test this candle's range (body or wick), you go LONG.

Bearish Order Block

The last UP candle (bullish candle) before a strong DOWN move.

```
BEARISH ORDER BLOCK:

     ■■ ← Previous bullish move
     ■■
     ■■ ← THIS is the bearish order block
     ■■    (last bullish candle before the move)
     ■■
      ■
      ■  ← Strong bearish move DOWN
      ■
```

Entry: When price comes BACK to test this candle's range, you go SHORT.

Why Do Order Blocks Work?

Because institutions didn't get FULLY filled on the first move. They placed orders. Some got filled. But they still have unfilled orders at that level.

When price returns to that level, the remaining orders activate — pushing price in the same direction again.

It's not magic. It's unfilled institutional orders.

How to Identify a VALID Order Block

Not every last candle is a valid order block. You need these filters:

```
CHECKLIST FOR A VALID ORDER BLOCK:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■

■ It must be the last opposing candle before a strong impulsive move
■ The move away must break structure (BOS or CHoCH)
■ There must be a Fair Value Gap (imbalance) in the move away
■ It should be at a premium/discount zone (see below)
■ It should align with higher timeframe bias
■ Ideally, it swept liquidity before forming
```

Refined vs. Unrefined Order Blocks

Unrefined: The full candle range (open to close, or high to low)

Refined: Just the candle body (open to close) — more precise entry

For tighter stop losses, use the refined (body) range. For safer entries with more room, use the full candle.

Premium vs. Discount Zones

Split any range from swing low to swing high into halves using the 50% mark (equilibrium):

```
SWING HIGH ■■■■■■■■■■■■ PREMIUM ZONE (above 50%)
                            → Sell at order blocks here

50% ■■■■■■■■■■■■■■■■■■■ EQUILIBRIUM

SWING LOW ■■■■■■■■■■■■■ DISCOUNT ZONE (below 50%)
                            → Buy at order blocks here
```

Rule: Only buy at order blocks in the DISCOUNT zone. Only sell at order blocks in the PREMIUM zone.

This gives you better risk-reward because you're entering at extreme values.

Order Block Entry Model

```
STEP-BY-STEP LONG ENTRY:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■

1. H4/Daily: Confirm bullish bias (bullish structure)
2. H1: Wait for a pullback (retracement)
```

```
3. M15: Identify a bullish order block in the discount zone
4. Confirm: The order block has a FVG above it (sign of imbalance)
5. Entry: At the order block candle body (50% of OB for aggressive)
6. Stop Loss: Below the order block low (or below the wick)
7. Take Profit: Previous swing high or next BSL pool
8. Risk-Reward: Minimum 1:2, ideally 1:3+
```

MODULE 5: FAIR VALUE GAPS (FVGs) — THE MAGNET ZONES

What Is a Fair Value Gap?

A Fair Value Gap is an imbalance in price. It's a 3-candle pattern where the middle candle's body is so large that it leaves a GAP between candle 1's high and candle 3's low (or vice versa for bearish).

In plain English: Price moved SO fast that it didn't trade fairly through that zone. And the market HATES imbalances. It wants to come back and "fill" that gap.

Bullish FVG (Price moved up too fast)

```
BULLISH FVG:

Candle 3:    ■■■     ← Candle 3 low
             ■■■

         ■■■■■■■■■  ← THIS GAP = Fair Value Gap (Bullish)

Candle 2:    ■■■     ← Candle 1 high
             ■■■
             ■■■     ← Big bullish candle
             ■■■

Candle 1:    ■■■
             ■■■

The gap is between: Candle 1's HIGH and Candle 3's LOW
If there's space between them = FVG exists
```

Bearish FVG (Price moved down too fast)

```
BEARISH FVG:

Candle 1:    ■■■
             ■■■

Candle 2:    ■■■
             ■■■
             ■■■     ← Big bearish candle
```

```
           ███

        ████████  ← THIS GAP = Fair Value Gap (Bearish)

Candle 3:  ███
           ███

The gap is between: Candle 1's LOW and Candle 3's HIGH
```

Why FVGs Matter

1. **Price tends to return to fill them** — it's like a magnet
2. **They act as support/resistance** — price often bounces from the FVG zone
3. **They confirm order blocks** — a valid OB usually has an FVG nearby
4. **They show institutional aggression** — big FVG = strong institutional move

How to Trade FVGs

Method 1: FVG as Entry Zone

```
BULLISH SETUP:
1. Price creates a bullish FVG during an impulsive move up
2. Price retraces back INTO the FVG
3. Enter long when price touches the FVG zone
4. Stop loss: Below the FVG (or below the order block)
5. Target: Previous high or next liquidity pool
```

Method 2: FVG as Confirmation

```
You've identified a bullish order block.
Does it have an FVG above it (in the move away)?

YES → Strong order block, take the trade
NO  → Weaker order block, consider skipping
```

Consequent Encroachment (CE) — The 50% Level

The 50% mark of any FVG is called the "Consequent Encroachment." This is the most precise level within the FVG where price is likely to react.

```
FVG TOP    ████████████
                        ← Full FVG zone
CE (50%)   - - - - - -  ← Most precise reaction level

FVG BOTTOM ████████████
```

For precise entries: Use the CE (50% of the FVG) as your entry point. Tighter stop, better risk-reward.

Inversions — When FVGs Flip

Once a bullish FVG gets FILLED (price passes through it entirely), it can flip and become resistance on the way back up. This is called an "inversion."

```
BEFORE: Bullish FVG = support (price bounces off it going up)
AFTER FILL: Same FVG = resistance (price rejects from it going down)
```

This is advanced, but powerful. It gives you entries even when the original FVG has been "used up."

FVG Rules to Live By

1. Only trade FVGs that align with your higher timeframe bias
2. Fresh (unmitigated) FVGs are stronger than old ones
3. FVGs on higher timeframes are more powerful than lower timeframe ones
4. The CE (50%) is your sniper entry within the FVG
5. If price fully closes through a FVG, it's been "filled" — don't expect a reaction
6. FVG + Order Block at the same level = high probability setup

MODULE 6: INDUCEMENT & MANIPULATION

The Traps — And How to Avoid Them

Right. This is where it gets spicy. Inducement is a concept that explains WHY you keep getting stopped out at the worst possible moment.

What Is Inducement?

Inducement is a small, tempting price move designed to LURE retail traders into a position — just before the real move happens in the opposite direction.

Think of it like a fish seeing a worm on a hook. The worm looks great. The fish bites. Then it gets reeled in.

You are the fish. The inducement is the worm.

How Inducement Works

```
THE TRAP:
```

```
━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━

1. Price is pulling back in a bullish trend
2. It creates a small swing low (looks like "support")
3. Retail traders buy at that level (place SL below)
4. Price dips JUST below that swing low (takes their stops)
5. THIS is the inducement — it induced them to enter
6. After stops are taken, price reverses and goes UP
7. Retail is out. Smart money is in.
```

Spotting Inducement on a Chart

Look for these clues:

```
SIGNS OF INDUCEMENT:
━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━

✓ A "tempting" level during a pullback (obvious support/resistance)
✓ Price barely holds the level (creates a tiny bounce)
✓ The level is INSIDE the larger move (internal, not external)
✓ There's a larger order block or FVG below/above it
✓ It looks "too good" — if it's obvious, it's probably a trap
```

How to Use Inducement in YOUR Favour

Instead of being the fish, be the fisherman.

Step 1: See the obvious level that retail will trade

Step 2: WAIT for price to sweep that level (take the stops)

Step 3: THEN look for your entry after the sweep

```
EXAMPLE (Bullish):
━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━━

1. Bullish trend on H1. Price pulling back.
2. Internal swing low forms at 1.0850 (obvious buy level)
3. You DON'T buy here. You wait.
4. Price sweeps below 1.0850 to 1.0840 (inducement taken)
5. A bullish order block forms at 1.0835
6. You buy at the order block AFTER the inducement
7. Stop below 1.0830. Target: new highs.
```

Manipulation — The Bigger Picture

Inducement is a small-scale manipulation. But there are bigger ones:

1. The Judas Swing (Fake Opening Move)

```
Market opens → moves AGAINST the daily bias → traps traders
→ reverses hard in the real direction
Example: London open. Daily bias is bullish.
```

```
Market drops 20 pips first (Judas swing down).
Retail shorts. Then it rockets 80 pips up.
```

2. Stop Hunts Before News Events

```
5 minutes before NFP/CPI → spike in one direction
→ takes stops → reverses → moves in real direction

This happens almost every single news event. Don't trade the spike.
Wait 5-10 minutes AFTER the event for the real move.
```

3. The "Spring" and "Upthrust" (Wyckoff)

```
SPRING: Price drops below support (accumulation zone)
→ traps sellers → reverses up (institutions finished buying)

UPTHRUST: Price pushes above resistance (distribution zone)
→ traps buyers → reverses down (institutions finished selling)
```

The Anti-Manipulation Checklist

Before EVERY trade, ask yourself:

```
■ Am I buying/selling at an obvious level? (If yes — wait for sweep)
■ Is price at internal or external structure?
■ Has liquidity been taken? (Has a sweep happened?)
■ Am I entering BEFORE or AFTER the manipulation?
■ Would a retail trader take this same trade? (If yes — be cautious)
```

MODULE 7: PUTTING IT ALL TOGETHER — FULL TRADE MODELS

The ICT Trade Models

Now you've got all the pieces. Let's assemble them into complete, repeatable trade models.

Model 1: The Liquidity Sweep + Order Block Entry (Most Common)

```
SETUP CONDITIONS:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
HTF (H4/Daily): Clear directional bias
LTF (M15): Liquidity sweep + Order Block formation

STEP-BY-STEP:

1. BIAS: H4 is bullish (higher highs, higher lows)
2. WAIT: Price pulls back toward a key swing low on H1
3. SWEEP: Price takes out that low (sweeps SSL)
4. SHIFT: On M15, you see a CHoCH (bullish shift)
5. IDENTIFY: Mark the bullish order block at the shift point
```

```
6. ENTRY: Price retests the order block → GO LONG
7. STOP: Below the order block low (or below the sweep wick)
8. TARGET: Previous swing high (BSL above)

WHY IT WORKS:
- HTF gives you direction
- Sweep gives you confirmation institutions are entering
- CHoCH proves the reversal is starting
- Order block gives you a precise entry point
- Liquidity above gives you a clear target
```

Model 2: The FVG Retest Entry (Cleanest Trades)

```
SETUP CONDITIONS:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
HTF: Bullish bias confirmed
LTF: Price created a strong impulse with an FVG, now retracing

STEP-BY-STEP:

1. BIAS: Daily candle closed bullish. H4 making higher lows.
2. IMPULSE: On H1, price made a strong bullish push (with FVG)
3. RETRACE: Price begins to pull back into the FVG
4. ENTRY: Place limit order at the FVG CE (50% level)
5. STOP: Below the FVG bottom (or below nearby OB)
6. TARGET: Previous high or extension level

WHY IT WORKS:
- Imbalances (FVGs) act as magnets — price comes back to them
- The 50% level is the most precise reaction point
- Combined with HTF bias, the probability is high
- Clean risk-reward (tight stop at FVG bottom)
```

Model 3: The Inducement → Sweep → Entry (Advanced)

```
SETUP CONDITIONS:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
HTF: Clear bias
LTF: Inducement level visible + larger POI below/above

STEP-BY-STEP:

1. BIAS: H4 bearish (lower highs, lower lows)
2. PULLBACK: Price retraces. Creates an "obvious" high (inducement)
3. PATIENCE: You don't short at the obvious level
4. SWEEP: Price pushes ABOVE that high (takes BSL)
5. REACTION: On M15, price shows bearish CHoCH after the sweep
6. IDENTIFY: Bearish order block at the top of the sweep
7. ENTRY: Short at the OB retest
8. STOP: Above the sweep high
9. TARGET: Next SSL below (previous swing low)

WHY IT WORKS:
- The inducement tells you where retail will get trapped
- Waiting for the sweep means you enter AFTER manipulation
- You're entering where institutions are distributing
- Your target is the next liquidity pool (easy to identify)
```

Model 4: The Break of Structure + Retest (Simplest Model)

```
SETUP CONDITIONS:
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
HTF: Confirmed direction
LTF: Clean break of structure with retest

STEP-BY-STEP (LONG):

1. BIAS: H4 bullish
2. BOS: On H1, price breaks above previous swing high
3. PULLBACK: Price retraces to the area of breakout
4. ENTRY: Buy at the retest (order block at breakout origin)
5. STOP: Below the pullback low
6. TARGET: Next structural high

SIMPLICITY:
- This is the easiest model for beginners
- BOS confirms momentum
- Retest gives you entry with minimal risk
- Works in all timeframes
```

Which Model Should You Use?

```
BEGINNER:     Model 4 (BOS + Retest) — learn structure first
INTERMEDIATE: Model 1 (Sweep + OB) — most common and reliable
ADVANCED:     Model 3 (Inducement → Sweep) — highest RR trades
SCALPING:     Model 2 (FVG Retest) — clean limit order entries
```

Pick ONE. Master it. Don't trade all four simultaneously. You'll confuse yourself.

MODULE 8: LIVE CHART EXAMPLES & PRACTICE DRILLS

How to Practice These Concepts

Look, I can explain this all day. But you won't GET it until you see it 500 times on a chart. So here's your practice routine.

Daily Practice Protocol (30 Minutes)

```
WEEK 1-2: MARKET STRUCTURE ONLY
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
- Open any pair on H1
- Mark ALL swing highs and swing lows
- Label every BOS and CHoCH
- Determine: Is this bullish or bearish structure?
```

```
- Do this on 3 different pairs every day
- TIME: 10 minutes per pair

WEEK 3-4: ADD LIQUIDITY
███████████████████████████████████████████████
- Same exercise as above PLUS:
- Mark where BSL sits (above swing highs)
- Mark where SSL sits (below swing lows)
- Look for equal highs/lows (double tops/bottoms)
- Identify any sweeps that happened
- Note: Did price reverse after the sweep?

WEEK 5-6: ADD ORDER BLOCKS & FVGs
███████████████████████████████████████████████
- Same as above PLUS:
- Mark all valid order blocks (use the checklist)
- Mark all FVGs
- Note: Did price react at the OB? Did it fill the FVG?
- Start identifying trade setups (don't trade yet — just identify)

WEEK 7-8: FULL MODEL PRACTICE
███████████████████████████████████████████████
- Apply your chosen trade model in demo
- Take 1-2 trades per day maximum
- Journal every single trade
- Review weekly: What worked? What didn't?
```

Chart Example 1: EURUSD — Bullish Sweep + OB Entry

```
WHAT HAPPENED (Walk-through):
███████████████████████████████████████████████

H4 BIAS: Bullish (making higher lows, higher highs)

H1 VIEW:
- Previous swing low at 1.0850
- Price has been bullish, pulling back
- Price drops to 1.0845 (SWEEPS the low by 5 pips)
- Immediately forms a bullish engulfing on M15
- This is the ORDER BLOCK

M15 VIEW:
- After sweep: Bullish CHoCH confirmed
- Order block identified (last bearish candle before the shift)
- FVG present above the OB (confirming validity)

ENTRY: 1.0850 (top of OB body)
STOP: 1.0838 (below sweep wick) = 12 pips risk
TARGET: 1.0890 (previous BSL/swing high) = 40 pips reward
RR: 1:3.3

RESULT: Price bounced from OB, hit target in 6 hours.
```

Chart Example 2: GBPUSD — Bearish FVG Retest

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WHAT HAPPENED:
███████████████████████████████████████████████
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DAILY BIAS: Bearish (clear downtrend on Daily)

H1 VIEW:
- Big bearish impulse candle drops 60 pips
- Leaves a FVG between 1.2640 and 1.2670
- CE (50%) = 1.2655

M15 VIEW:
- Price retraces up toward the FVG
- Touches 1.2655 (CE level exactly)
- Shows M5 bearish engulfing at that level

ENTRY: 1.2655 (FVG CE level)
STOP: 1.2675 (above FVG top) = 20 pips risk
TARGET: 1.2590 (previous low/SSL) = 65 pips reward
RR: 1:3.25

RESULT: Price rejected from CE, dropped to target within 2 sessions.
```

Chart Example 3: USDJPY — Inducement + Sweep (Advanced)

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WHAT HAPPENED:
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H4 BIAS: Bullish (strong trend up)

H1 VIEW:
- Price pulling back (making internal lower highs)
- Creates an "obvious" low at 149.50 (inducement)
- Retail traders buy here, placing stops below

THE SWEEP:
- Price drops to 149.35 (sweeps below the obvious low)
- All retail stops triggered
- M15 immediately shows bullish CHoCH

M15 VIEW:
- Bullish order block at 149.40 (where the shift occurred)
- FVG present above OB

ENTRY: 149.42 (OB body retest)
STOP: 149.30 (below sweep wick) = 12 pips risk
TARGET: 150.20 (next BSL) = 78 pips reward
RR: 1:6.5

RESULT: Price reversed from sweep, rallied 80+ pips.
```

The Pattern You Should Notice

In all three examples, the process is the same:

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1. Determine HTF bias (direction)
2. Wait for a pullback or retracement
3. Identify the liquidity/inducement level
4. Wait for the SWEEP (don't enter before it)
5. Confirm with CHoCH or structural shift
```

```
6. Enter at OB or FVG with tight stop
7. Target the opposite liquidity pool
```

That's it. That's the entire ICT framework in 7 steps.

Your 10 Commandments of Smart Money Trading

```
1. Thou shalt always know thy higher timeframe bias
2. Thou shalt never enter before liquidity is swept
3. Thou shalt wait for structural confirmation (CHoCH/BOS)
4. Thou shalt only buy in discount and sell in premium
5. Thou shalt respect the order block and FVG
6. Thou shalt not overtrade — 1-2 setups per day maximum
7. Thou shalt always know where the next liquidity target is
8. Thou shalt never move thy stop loss further from entry
9. Thou shalt journal every trade without exception
10. Thou shalt be patient — the setup comes to you
```

FINAL WORDS

Right. Let me level with you.

Smart Money Concepts isn't some magical system that makes you money overnight. It's a LENS — a way of reading price action that gives you an edge.

But an edge only works if you trade it with discipline. You still need risk management. You still need patience. You still need to put in the screen time.

What ICT gives you is CONTEXT. Instead of randomly buying because "the RSI is oversold," you're buying because institutions just swept liquidity, shifted structure, and left an order block as their footprint.

That's a massive difference. And it's the difference between the 90% who lose and the 10% who make real money.

Now go mark up some charts. Put in the reps. And stop being the liquidity.

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